

again.

That means waiting for price to rise back above a down-sloping neckline or above the right armpit high (when the neckline slopes upward). Had I done that, I would have entered the stock when price was rising (at G), not falling. Because the stock wobbled sideways, I don't think it would have changed a losing trade into a winning one, but at least I would have corrected a bad entry.

Chemtura

The second trade was in Chemtura (CEM) in 2008. I bought in after the second right shoulder was in place but well before confirmation. I put a stop below the right shoulder. The stock spiked down 2 days later and hit my stop. I lost 6% on the trade.

Six percent in 2 days: I really dislike losing money so fast. The complex bottom never confirmed, and the stock dropped from my sale price of 6.96 to 9 cents before I stopped following the stock.

- Lesson: Wait for confirmation. I didn't and suffered a loss.

Sample Trade

When the weather is nice, I like to take my bicycle out for a spin and give the automobile drivers something to aim for. On one of my bike trips I met Melody. After I told her what I did for a living, she confessed that she was a nightclub dancer and made oodles in tips. I was unsure whether I bought her story, but she looked pretty enough (wearing a bike helmet and sun glasses, who can tell?).

Anyway, [Figure 40.6](#) shows a trade she made in the stock. “I liked the setup because a trendline drawn from the high in early October 1993 to just after the head marked a turning point. That is where price moved up enough to pierce the trendline.”

Melody knew that price usually retests the low before beginning an extended move upward, so she followed the stock and watched it loop